CASCADIA ANALYTICS

Construction Partners

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Sunbelt Scale Collides with Capital Costs as Debt Burden Defers Value Creation

Analyst: Justin Wen | October 21, 2026

Construction Partners has built an enviable infrastructure footprint across the Southeast US, assembling a project backlog that has expanded sequentially to a record $3.36B in Q3 FY2026 while executing its ROAD 2030 strategy. However, the equity valuation at a reference price of $92.07 trades at an untenable premium that overlooks elevated debt service and early signs of cost vulnerability. With interest expense consuming 68% of operating income in Q2 FY2026 and net leverage remaining elevated against corporate targets, equity upside is constrained. We initiate coverage with a Hold rating and a probability-weighted blended target of $81.07, representing -11.9% upside.

HOLD	$81.07	-11.9%	$92.07
INVESTMENT RATING	BLENDED TARGET	BLENDED UPSIDE	REFERENCE PRICE

While public market consensus remains fixated on top-line compounding and consecutive guidance increases, equity investors are underestimating the structural cash drag created by rapid platform acquisitions. Even with robust demand from public agencies and an accelerating project backlog, thin GAAP operating margins and volatile input expenses leave equity returns subordinated to debt service across the multi-year forecast horizon.

Executive summary

Construction Partners operates as a road construction and asphalt paving company serving public agencies across the Southeast US. The company has aggressively expanded its geographic reach through platform acquisitions, establishing and deepening positions across Texas, Oklahoma, Tennessee, and Alabama. Its operating profile relies on a vertically integrated and decentralized approach to public infrastructure maintenance and expansion, executing regional projects where local scale and plant placement dictate competitive success. Through this local density model, the business captures repeat public agency allocations supported by federal and state infrastructure programs, establishing itself as a primary road construction partner across high-growth southern corridors.

The recent quarterly evidentiary record confirms rapid revenue expansion alongside emerging operational cross-currents. In Q4 FY2025, the company delivered $899.8M in revenue, marking 67.2% year-over-year growth, while full-year FY2025 revenue reached $2.812B, expanding 54% with 8.4% organic and 45.6% acquisitive growth. FY2025 adjusted EBITDA totaled $423.7M at a 15.0% margin. Momentum carried into FY2026, where Q1 revenue grew 44% to $809.5M and adjusted EBITDA margin reached a first-quarter record of 13.9%. Q2 FY2026 demonstrated reaccelerating organic growth of 11%, up from 3.5% in Q1, with revenue reaching $769.2M and project backlog climbing to $3.14B. Most recently, Q3 FY2026 established a new revenue mark of $999M, up 28% year-over-year, alongside a project backlog reaching a record $3.36B, prompting management to raise full-year guidance for the second consecutive quarter and pointing to implied Q4 revenue of ~$1.08B.

Despite these commercial achievements, margin expansion has begun to display clear operational frictions. In Q3 FY2026, adjusted EBITDA margin compressed to 16.3% from 16.9% in the prior-year period as energy cost inflation overwhelmed liquid asphalt indexing and diesel hedges, compounded by persistent delays caused by wet weather. In Q2 FY2026, adjusted EBITDA margin stalled at 12.13% compared to 12.12% a year prior. Furthermore, the aggressive acquisition pace (closing eight strategic transactions in under 15 months) has introduced integration complexity while inflating corporate debt obligations. Net leverage closed FY2025 at approximately 3.43x, standing well above management's long-term target of 2.5x.

The company's balance sheet structure presents a substantial hurdle for residual equity holders. Total debt ended FY2025 at $1.69B against cash of $156.1M, yielding net debt of $1.53B. While FY2025 free cash flow came in at $153.4M on operating income of $239.8M and net income of $101.8M, ongoing capital expenditures and financing costs restrict rapid balance sheet de-leveraging. In Q2 FY2026, interest expense reached $25.6M, absorbing 68% of the quarter's $37.4M in operating income. With shares trading at 50.0x latest fiscal year diluted EPS of $1.84 and an enterprise value to EBITDA multiple of 18.0x, the current market capitalization of $5.18B leaves little room for operational disruption.

Operational snapshot

$92.07	$2.81B	$153.4M	5.5%	0.95	$92.07
REF. PRICE	FY2025 REVENUE	FY2025 FREE CASH FLOW	FCF MARGIN	EQUITY BETA	REF. CLOSE

Fiscal-year figures as reported in company filings and collected by Cascadia Analytics; ref. price as of 2026-10-29.

The moat is Vertically Integrated and Geographically Anchored

The structural moat supporting Construction Partners derives from its localized vertical integration and heavy physical asset base across the Southeast US. In road construction and asphalt paving, asphalt concrete cannot be transported over long distances due to temperature loss during transit. Consequently, owning asphalt plants and aggregate handling infrastructure in strategically clustered sub-markets creates localized supply barriers that insulate the firm from outside competition. By serving public agencies across municipal, county, and state transportation departments, the firm embeds itself into regional capital budgeting processes, capturing ongoing road repair, resurfacing, and widening programs.

Switching costs for public agencies manifest through project execution reliability, pre-qualification requirements, and strict specification compliance. Public works departments allocate projects through competitive bidding, yet contractor qualification standards require proven bonding capacity, local equipment deployment, and on-time performance histories. Construction Partners' expanding presence across Alabama, Tennessee, Texas, and Oklahoma creates regional scale advantages where decentralized local crews can efficiently bid and execute work. The expansion of project backlog from $2.66B in Q1 FY2025 to $3.0B at the end of FY2025, and subsequently to $3.09B, $3.14B, and $3.36B across the first three quarters of FY2026, demonstrates sustained procurement success with regional public agencies.

Pricing power, however, operates within structural boundaries governed by competitive public procurement guidelines and contractual indexing mechanisms. While the company utilizes liquid asphalt escalation clauses and diesel hedges to insulate unit economics, the Q3 FY2026 results demonstrate that indexing formulas do not offer absolute protection during periods of acute energy cost inflation. When energy price spikes exceed contractual pass-through thresholds or lag billing cycles, operating margins contract, as evidenced by the 60 basis point drop in Q3 adjusted EBITDA margin to 16.3%. Thus, while the physical footprint prevents market share loss to outside competitors, pricing power is cyclical and constrained by public sector procurement frameworks.

The durability of the franchise rests on repeat public agency maintenance cycles supported by federal and state infrastructure capital, including IIJA funding and migration into the Sunbelt. Road surfaces have finite operational lifespans under heavy traffic and environmental wear, requiring continuous milling, resurfacing, and reconstruction. Construction Partners operates

primarily as an infrastructure maintenance specialist rather than a speculative greenfield developer, providing structural demand insulation. Nevertheless, because execution occurs outdoors in a decentralized regional network, weather vulnerability remains an inherent operational reality that local moats cannot completely offset.

Valuation

Three scenarios make the valuation range explicit

Cascadia Analytics evaluates Construction Partners through an explicit EBIT-bridge discounted cash flow framework covering the forecast window from FY2026 through FY2030. Cash flow compounding is evaluated across three scenario pathways that reflect differing rates of Sunbelt public agency demand absorption, acquisition integration efficiency, and margin durability under variable input cost environments. The model utilizes an equity beta input of 0.95, reflecting public infrastructure exposure tempered by balance sheet leverage, and discounts projected cash flows at an institutional weighted average cost of capital of 7.43% across 56.3 million diluted shares.

Our base case projects an 8.5% revenue compound annual growth rate through FY2030, reflecting steady organic expansion alongside measured platform additions, culminating in a target free cash flow margin of 6.1% in the final forecast year. Terminal cash flows are capitalized using a 3.0% terminal growth rate, producing a base equity target of $76.56. The bull case captures accelerated execution under the ROAD 2030 framework, compounding revenue at a 13.5% CAGR with free cash flow margins expanding to 7.5% as operational density yields operating leverage, yielding a $125.01 target. Conversely, the bear case models a deceleration in public awards and persistent input cost drag, driving a 4.5% revenue CAGR and a compressed 5.1% free cash flow margin, which drops the equity valuation to $46.15.

SCENARIO	WEIGHT	REVENUE CAGR	TARGET FCF MARGIN	TARGET	UPSIDE
Bear	25%	4.5%	5.1%	$46.15	-49.9%
Base	50%	8.5%	6.1%	$76.56	-16.8%
Bull	25%	13.5%	7.5%	$125.01	+35.8%

Bear $46.15

A prolonged deceleration in organic bidding activity coupled with unhedged energy inflation compresses cash conversion across the

Base $76.56

Execution across core Southeast and Sunbelt markets proceeds at an 8.5% revenue CAGR as public agency infrastructure funding provides stable

Bull $125.01

Aggressive organic volume gains and rapid realization of acquisition synergies in Texas and Oklahoma unlock operating leverage across the asphalt network. Free

decentralized network. Elevated interest charges continue to consume operating profit while weather disruptions stall project completions, depressing the terminal free cash flow margin to 5.1% and driving a 49.9% valuation decline.

project volumes. Net leverage gradually moderates toward target levels, stabilizing normalized free cash flow margins at 6.1% and establishing a fair value of $76.56 per share.

cash flow margins expand to 7.5% on a 13.5% revenue CAGR as debt service diminishes relative to operating cash flow, supporting an intrinsic valuation of $125.01.

Valuation framework

A live discount rate, not a static hurdle

Our capital asset pricing model establishes an institutional discount rate of 7.43% for Construction Partners. This hurdle rate integrates the verified equity beta of 0.95, capturing the non-discretionary nature of public road maintenance contracts alongside cyclical sensitivity to state infrastructure budgets and weather delays. The capital structure weighting incorporates the company's $1.69B in total debt obligations against the market equity value of $5.18B based on the reference price of $92.07 across 56.3 million diluted shares.

The 7.43% WACC explicitly prices the elevated leverage carried on the balance sheet following aggressive acquisition activity. In recent quarters, capital costs have manifested directly through interest expense, which reached $25.6M in Q2 FY2026. This dynamic creates financial duration sensitivity, where any delay in project billing or cash conversion directly impairs equity value. The discount rate reflects both the stability of public agency receivables and the balance sheet friction generated by net leverage hovering well above the target of 2.5x.

FCF margin normalization is the engine

Free cash flow margin trajectory serves as the primary valuation driver across the FY2026 to FY2030 projection horizon. In FY2025, the company generated $153.4M in free cash flow on $2.81B in revenue, resulting in a free cash flow margin of 5.5%. However, historical cash conversion has exhibited volatility, as demonstrated in Q4 FY2025 when quarterly free cash flow margin fell to 8.8% from 15.6% in the prior-year quarter due to seasonal working capital absorption and capital outlays.

Our model evaluates terminal free cash flow margins ranging from 5.1% in the bear scenario to 6.1% in the base case and 7.5% in the bull case. Achieving the base target of 6.1% requires disciplined working capital management, rational equipment reinvestment, and effective cost hedging to overcome the margin dilution observed in Q3 FY2026, when adjusted EBITDA margin dropped to 16.3%. Because GAAP

net income margins remain structurally pressured by interest expense, free cash flow generation is the true anchor for equity value.

Mechanics are explicit

Revenue becomes EBIT, cash taxes come out, then we add back D&A, subtract CapEx and the change in net working capital to reach unlevered free cash flow, which we discount and divide by diluted shares.

> **Methodology.** Detailed EBIT-bridge DCF on three scenarios, probability-weighted 25/50/25. Beta decays toward a mature peer over the forecast. Terminal value via Gordon growth. Targets are model-computed, not estimated.

KEY VALUATION PARAMETERS

Forecast window	FY2026 to FY2030
Live WACC	7.43% (2026-10-29)
Terminal growth	3.0%
Equity beta	0.95
Diluted shares	56.3 million

HOLD

over $81.07 blended target

Competitive moat and concentration risk

We rate the moat as Narrow and we view the market structure as Fragmented nationally; local oligopoly by plant footprint. We assign a premium of +10% to sector median multiples on moat strength alone.

- local vertical integration and plant density, the 5 Oct 2026 Texas acquisition added two hot-mix asphalt plants and 125+ employees to Lone Star Paving (StockTitan via ad-hoc-news, Oct 2026), the classic local-moat investment.
- Q3 fiscal 2026 revenue $999.42m (+28.2% YoY), EPS $1.08 vs $1.01 consensus and $0.81 a year earlier (MarketBeat via ad-hoc-news, 1-5 Oct 2026). Growth with a beat shows execution and scale, but a 4.1% net margin caps any claim of pricing power: ROAD wins work and integrates it, it does not price like a monopolist.
- The weakest element is thin, bid-driven margins, TTM net margin 4.1%, net income $142.5m on $3.5bn revenue to 30 June 2026 (TickerNerd, 27 Oct 2026), and dependence on public infrastructure budgets.

On a multiple cross-check, the justified range is EV/EBITDA 11.7×; P/E 22.0×. The cross-check value is P/E-implied $82.87; EV-implied $85.39 vs Base $77.82, spot $83.22, on a base of Framework base from the October 27 moat report. The gap verdict is Whole, of a small $5.40 gap; spot-implied P/E (≈22.1×) ≈ justified 22.0×.

Backlog is $3.36bn project backlog, record, 30 Jun 2026, with coverage of 11.6 months vs approximate TTM revenue and visibility rated High. On backlog alone, the stance is Supports, Base FY2027 cover 84.6 percent matches the disclosed 80 to 85 percent.

We score concentration and credit risk across seven families, where a High score is 8 points, a Medium score is 4 points, and a Low score is 1 point.

Risk family	Score
customer concentration	4 points
counterparty credit and funding dependence	4 points
single product, single program, or single platform dependency	4 points
single supplier, single fab, or single geography exposure	4 points
platform, channel, or distribution dependency	1 points
customer insourcing risk	1 points
regulatory single point risk	1 points

The combined discount is 19 percent, capped at 20 percent, against an uncapped total of 19 percent. Shown side by side with the moat premium or discount, the net stance is -9 pp points arithmetically. We do not net these figures into a new target, and we do not double count a family excluded under the double-count rule.

The ladder ranks risk coarsely, and because 32 of the 47 names reach the 20 percent cap, the combined discount is not a mechanical valuation haircut until the ladder is recalibrated.

On the gap to spot, the concentration assessment reads as follows. Not at all (corrected from batch arithmetic)

Both the moat premium or discount and the concentration discount are multiple and risk cross-checks dated October 27, 2026, and neither figure is in the DCF target itself. Cross-check figures were computed against the Base in the October 27 framework, so they may differ from a live Base that has since moved.

Business & segment drivers

Revenue prospects anchor on Public Infrastructure Procurement and Network Density Expansion HOLD

Construction Partners generates its revenue as a road construction and asphalt paving company serving public agencies across the Southeast US. Commercial activity is heavily tethered to state departments of transportation, municipal public works bodies, and regional highway authorities. Demand from these public agencies is supported by federal programs like the Infrastructure Investment and Jobs Act (IIJA) as well as population migration into southern corridors. Project backlog trajectory highlights the strength of this institutional demand, expanding from $2.84B in

Q2 FY2025 and $3.0B at FY2025 year-end to $3.09B in Q1 FY2026, $3.14B in Q2 FY2026, and $3.36B in Q3 FY2026.

Top-line expansion relies on a combination of organic growth and acquisitive platform integration. In FY2025, total revenue expanded 54% to $2.812B, with 8.4% generated organically and 45.6% added via acquisitions. The company executed five platform acquisitions that established footprints in Texas and Oklahoma while deepening operational coverage in Tennessee and Alabama. This roll-up strategy continued into FY2026, bringing the acquisition total to eight transactions in under 15 months. Organic revenue growth reaccelerated sharply during FY2026, moving from 3.5% in Q1 to 11% in Q2, demonstrating that existing asphalt plants and paving units are generating volume alongside newly acquired territories.

The operational framework relies on local vertical integration, where owning regional asphalt production plants secures supply economics for downstream paving crews. During Q1 FY2026, this model delivered record first-quarter adjusted EBITDA margins of 13.9%, up 160 basis points year-over-year, as operating leverage took hold during a seasonally low period. However, decentralized operations remain vulnerable to environmental and commodity volatility. In Q3 FY2026, adjusted EBITDA margin compressed to 16.3% from 16.9% in the prior year despite revenue climbing 28% to $999M. This compression was driven by energy cost inflation that outpaced liquid asphalt index adjustments and diesel hedges, paired with weather-related operating delays.

Future performance depends on the balance between revenue burn and project replenishment. The company entered FY2026 with initial revenue guidance of $3.4B to $3.5B, subsequently raised across consecutive quarters to imply a fourth-quarter run-rate of approximately $1.08B. While the backlog of $3.36B offers clear visibility into FY2027 operations, converting this volume into distributable cash requires absorbing interest burdens that reached $25.6M in Q2 FY2026 and normalizing leverage back toward the 2.5x target.

What to monitor

- **Backlog replenishment versus revenue burn** Tracking whether sequential quarterly backlog additions can continue to exceed the rising quarterly revenue burn approaching $1B.
- **Interest expense absorption rate** Monitoring the proportion of operating income consumed by interest payments following the 68% burden recorded in Q2 FY2026.
- **Net leverage trajectory toward corporate targets** Observing the reduction of balance sheet leverage from the 3.43x level recorded at the end of FY2025 toward the management objective of 2.5x.
- **Input cost indexing efficacy** Evaluating whether liquid asphalt contractual indexing and fuel hedges can successfully protect margins against recurrent energy inflation.

+54.2%	15.6%	8.5%	5.5%	$1.53B	11.2%
FY2025 REVENUE GROWTH	GROSS MARGIN	OPERATING MARGIN	FCF MARGIN	NET DEBT	RETURN ON EQUITY

METRIC	FY2025 (AS REPORTED)
Revenue	$2.81B
Gross Profit	$439.1M
EBIT	$239.8M
Net Income	$101.8M
EBITDA	$373.2M
Free Cash Flow	$153.4M
Diluted EPS	$1.84
ROE	11.2%

Risk & moat matrix

The bear case

SHARE EROSION

Intense local competition for public road construction contracts can pressure bidding spreads across key Southeast markets. If regional peers aggressively price aggregate

M&A DIGESTION

Integrating eight platform acquisitions in under 15 months across unfamiliar territories like Texas and Oklahoma elevates organizational complexity. Strained field-level management systems risk execution

REGULATORY AND PRICING SCRUTINY

Public agency procurement rules enforce strict bidding frameworks that restrict unilateral contractual price adjustments. In periods of rapid cost shifts, escalation formulas can lag actual input inflation,

TECHNOLOGY DISRUPTION

Shifts toward alternative asphalt compositions and green paving specifications require continuous plant retrofitting and equipment outlays. Slower technical adaptation at regional production sites could

REINVESTMENT TREADMILL

Maintaining heavy mobile paving fleets and stationary asphalt plants requires sustained capital reinvestment across expansive geographical networks. High maintenance capital expenditures can severely limit the free cash flow conversion required to pay

WACC AND DURATION SENSITIVITY

With net debt standing at $1.53B and interest eating 68% of Q2 operating income, capital costs remain elevated. Any upward pressure on refinancing rates increases the enterprise discount

and asphalt supply, award margins across municipal projects will experience downward pressure.

delays, safety overhead, and cultural fragmentation across decentralized units.

leaving project margins unprotected.

jeopardize qualification standards for federally funded highway programs.

down corporate debt.

hurdle and diminishes residual equity value.

The strengths

OLIGOPOLY POSITION

Localized ownership of asphalt production facilities creates high physical entry barriers that prevent outside competitors from bidding effectively. Regional transport limits on hot-mix asphalt grant local plants protected operating perimeters around core agency projects.

FCF COMPOUNDING

Sustained public infrastructure allocations generate durable multi-year cash conversion cycles across core highway maintenance programs. Operating cash flows support ongoing reinvestment while funding systematic debt reduction over the five-year forecast window.

GEOGRAPHIC DURABILITY

Concentration in high-growth Sunbelt economies provides favorable demographic tailwinds and persistent road usage demand. Expansion into Oklahoma, Texas, Tennessee, and Alabama broadens the addressable public agency budget pool.

PIPELINE OPTIONALITY

A record project backlog reaching $3.36B in Q3 FY2026 establishes unmatched forward revenue visibility. This robust contractual pipeline allows management to selectively bid on higher-margin public agency opportunities.

The bottom line on risk and reward

Construction Partners occupies an indispensable operational role within the Southeast infrastructure ecosystem, backed by a record $3.36B backlog and proven capacity to expand both organically and via acquisitions. The long-term commercial opportunity supported by public infrastructure maintenance and Sunbelt population migration is fundamentally sound. The company's demonstrated ability to raise guidance through FY2026 underlines strong demand for its asphalt paving and road construction services.

However, the prevailing valuation at $92.07 discounts an overly optimistic scenario that understates balance sheet and operational friction. With total debt at $1.69B, net debt at $1.53B, interest expenses consuming 68% of operating profit in Q2 FY2026, and net leverage standing well above the 2.5x target, financial risk remains elevated. Additionally, Q3 FY2026

adjusted EBITDA margin compression to 16.3% emphasizes that liquid asphalt escalation clauses and diesel hedges do not offer absolute immunity from energy inflation and weather disruptions.

Synthesizing our probability-weighted framework (25% Bear at $46.15, 50% Base at $76.56, and 25% Bull at $125.01), we arrive at a blended intrinsic target of $81.07. With the blended target indicating -11.9% upside relative to the prevailing reference price of $92.07, the risk-reward profile is skewed toward consolidation. We initiate coverage on Construction Partners with a Hold rating, awaiting better valuation entry points or substantial balance sheet de-leveraging before advocating capital commitment.

Justin Wen, Senior Equity Research Analyst, Cascadia Analytics

Franchise deep dive

Road Construction and Asphalt Paving: Public Agency Infrastructure Engine

The foundation of Construction Partners' business model is road construction and asphalt paving serving public agencies across the Southeast US. Rather than targeting speculative private real estate ventures, the franchise concentrates on public transportation infrastructure, engaging state departments of transportation, counties, and municipalities. These public bodies maintain dedicated capital budgets funded by fuel taxes, state revenue allocations, and federal distributions such as the Infrastructure Investment and Jobs Act. The nature of this customer base generates stable, non-cyclical demand centered on resurfacing, widening, and structural rehabilitation of critical transport corridors.

The operational framework requires co-locating asphalt production plants with centralized regional management, deploying mobile paving crews within defined radii. Hot-mix asphalt must be placed and compacted before cooling below required temperatures, creating natural logistical boundaries around each plant. By acquiring established local operators and integrating asphalt plants across Alabama, Tennessee, Texas, and Oklahoma, the company builds localized market density. This footprint allows Construction Partners to capture vertical manufacturing margins on asphalt supply while bidding competitively on regional road paving tenders.

Execution requires balancing rapid acquisitive growth with disciplined job-cost accounting and operational risk controls. Integrating eight acquisitions in under 15 months has expanded the company's footprint into extensive transportation networks, providing the scale needed to handle simultaneous multi-million dollar public tenders. However, decentralized field execution leaves the franchise exposed to unseasonable weather patterns and localized material cost spikes. Managing this asset-intensive footprint requires strict adherence to unit economics, equipment utilization targets, and selective project bidding.

What the recent record shows

- Full-year FY2025 revenue surged 54% to $2.812B, supported by 45.6% acquisitive growth from five platform additions alongside 8.4% organic expansion, with adjusted EBITDA reaching $423.7M at a 15.0% margin.
- Q1 FY2026 challenged historical seasonality with revenue jumping 44% to $809.5M, delivering a Q1-record adjusted EBITDA margin of 13.9% and swinging net income to $17.2M from a $3.1M prior-year loss.
- Organic revenue growth reaccelerated sharply to 11% in Q2 FY2026 from 3.5% in Q1, pushing backlog to $3.14B, although quarterly interest expense reached $25.6M and absorbed 68% of operating income.
- Record project backlog reached $3.36B in Q3 FY2026 on revenue of $999M, prompting a second consecutive guidance raise, though adjusted EBITDA margin contracted 60 basis points to 16.3% due to energy cost inflation and wet weather.

Our read: The road construction and asphalt paving franchise possesses exceptional top-line and backlog momentum across its Southeast public agency footprint. Nevertheless, thin operating margins, weather exposure, and an elevated debt service burden dictate an unfavorable risk-reward profile at prevailing equity valuations, fully validating our Hold recommendation.